

THE COMEBACK PLAN

GROWTH STRATEGY

Focus on balanced industry mix, high-growth services, large deals, top customers and priority markets

OPERATIONAL STRATEGY

Productivity gains, operational efficiencies, delivery excellence and greater focus on high-margin services

PORTFOLIO SYNERGIES

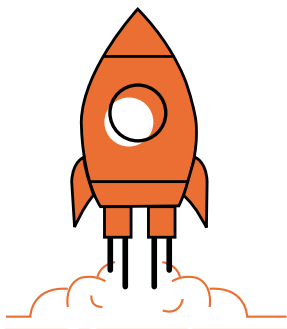
Synergies across portfolio companies and the wider M&M Group

ORGANISATIONAL STRATEGY

Strengthen talent management, culture building, branding and marketing

SUSTAINABILITY

Integrate ESG priorities across the organisation



TECH MAHINDRA'S TURNAROUND TEST

India's fifth-largest IT services firm is close to achieving its ambitious targets even as the \$315 billion IT industry faces one of its most challenging periods

BY **PRIYANKA SANGANI**

A **LITTLE OVER** two years ago, India's fifth-largest information technology firm, Tech Mahindra, set itself an ambitious target: to outgrow its Indian IT services peers and lift margins to 15% by FY27, from 6% at the end of March 2024 (Q4 FY24).

Industry watchers were largely sceptical, especially with new CEO and Managing Director Mohit Joshi having taken over barely six months earlier from 15-year veteran C.P. Gurnani.

Turning around performance while simultaneously driving growth was a tall order.

Two years into the three-year plan, however, the doubts have begun to fade. In Q1 FY27, Tech Mahindra reported a revenue of \$1.66 billion and EBIT (earnings before interest and tax) margins of 14.4%, within striking distance of its 15% target.

Speaking to *Business Today* in Mumbai, Joshi says an important part of achieving this was stating the company's goals upfront and clearly. "I think the single best thing that we did was articulating a very clear sense of what we would do in three years, backed by numbers. Had we made statements like 'we will be a world-beating company' or 'we will have the deepest domain expertise' we would have accomplished very little," he says.

Laying out a clear set of numbers—15% margins, topline growth higher than industry peers, over 30% return on capital employed (ROCE), and a return of over 85% of free cash flow to investors—compelled the organisation to focus on these metrics and drive alignment across different parts of the business.